IRMAA & Medicare MAGI Planning Workbook

Why Medicare can charge you today for income you no longer have — and the one form that can fix it

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seniorsaudit.com

GETTING ORIENTED

What This Workbook Helps You Decide

IRMAA (Income-Related Monthly Adjustment Amount) is a surcharge added to your Medicare Part B and Part D premiums when your income is above certain thresholds. This workbook helps you understand exactly how it's calculated, why it can charge you based on income you no longer have, and — critically — whether you qualify to appeal it right now.

> **REAL SCENARIO THIS WORKBOOK ADDRESSES**
>
> A retiree sold a rental property in 2024, creating a one-time income spike. In 2026, Medicare charged them $649.20/month for Part B alone — based on that 2024 income — even though their actual current income is around $40,000. This is legal, common, and in some cases fixable. Page 9 explains why.

Who this is for

- ☐ Anyone who received a Medicare premium bill higher than expected
- ☐ Anyone whose income recently dropped due to retirement, divorce, or loss of a spouse
- ☐ Anyone planning a large one-time income event (property sale, Roth conversion) and wanting to understand the future impact

GETTING ORIENTED

Before You Begin

Gather these four things before you start — every worksheet in this book builds from them.

- ☐ Your Modified Adjusted Gross Income (MAGI) from your tax return two years ago (2024 return, for 2026 premiums)
- ☐ Your filing status
- ☐ Any recent premium notice or bill from Social Security showing your current IRMAA tier
- ☐ Documentation of any major life event since that tax return (retirement date, divorce decree, death certificate, etc.), if applicable

STEP 1 OF 7

What Counts as MAGI for IRMAA

MAGI for IRMAA is calculated as: **Adjusted Gross Income (Form 1040, Line 11) + tax-exempt interest (Form 1040, Line 2a)**.

THE ADD-BACK TRAP

Tax-exempt interest — including municipal bond interest — is added back into this calculation even though it isn't taxed. Many people assume municipal bonds are “invisible” to Medicare; they are not. This can push someone over an IRMAA threshold without any taxable income increase at all.

My AGI (from tax return 2 years ago): _____

My tax-exempt interest that year: _____

My MAGI for IRMAA purposes: _____

Source: IRS Form 1040 line items as used in CMS/SSA IRMAA calculations

STEP 2 OF 7

Understanding the Two-Year Lookback

Your 2026 Medicare premium is based on your **2024 tax return** — not your current income. This is because your 2024 return is the most recent full-year tax data available when 2026 premiums are set.

> **THIS CUTS BOTH WAYS**
>
> A temporary income spike two years ago can raise your premium today even if your current income is much lower. But it also means a planning decision you make today (like a Roth conversion) won't affect your Medicare premium until two years from now — which is both a risk and an opportunity.

My 2026 premium is based on my _____

STEP 3 OF 7

The 2026 IRMAA Brackets

The standard 2026 Part B premium is $202.90/month. If your MAGI (from Step 1, using your 2024 return) is above these thresholds, you pay more:

MAGI (single)	MAGI (married filing jointly)	Total Part B / month	Part D surcharge / month
Up to $109,000	Up to $218,000	$202.90 (standard)	$0
$109,000 – $137,000	$218,000 – $274,000	$284.10	$14.50
$137,000 – $171,000	$274,000 – $342,000	$405.80	$37.50
$171,000 – $205,000	$342,000 – $410,000	$527.50	$60.40
$205,000 – $500,000	$410,000 – $750,000	$649.20	$83.30
Over $500,000	**Over $750,000**	**$689.90**	**$91.00**

Figures are the official 2026 CMS Part B and Part D IRMAA amounts, effective January 1, 2026. If you file Married Filing Separately, a different, compressed three-tier structure applies — confirm your exact bracket with SSA rather than using this table.

THIS IS A CLIFF, NOT A GRADUAL PHASE-IN

Going even $1 over a threshold triggers the FULL surcharge for that entire tier — for the whole year — not a partial or prorated amount. Confirm your exact figure against your official SSA determination letter or the free calculator below.

My MAGI puts me in this tier: _____ My est. total monthly surcharge: ___

Source: CMS "2026 Medicare Parts A & B Premiums and Deductibles" (announced November 2025)

STEP 4 OF 7

What This Costs Over a Full Year

IRMAA surcharges apply per person, per month, all year. For a married couple where both spouses have Medicare, these amounts apply to **EACH spouse separately**.

> **WORKED EXAMPLE**
>
> A single person in Tier 1 ($109,000–$137,000 MAGI) pays an extra $81.20/month × 12 = $974.40/year in Part B surcharges alone, plus the Part D surcharge on top. A married couple where both spouses are in Tier 1 pays this amount TWICE — nearly $2,000/year combined, before Part D.

My estimated annual IRMAA cost (monthly surcharge × 12, × 2 if both spouse

STEP 5 OF 7

Can You Appeal? The 8 Qualifying Events

If your income has dropped since the tax year Medicare is using, you may be able to request a new determination using Form SSA-44 — but only if the drop was caused by one of eight specific, legally defined events.

- ☐ Marriage
- ☐ Divorce or annulment
- ☐ Death of a spouse
- ☐ Work stoppage (including retirement)
- ☐ Work reduction (fewer hours, reduced pay while still employed)
- ☐ Loss of income-producing property (through disaster, theft, or similar — NOT a voluntary sale)
- ☐ Loss of pension income (plan termination or reorganization)
- ☐ Employer settlement payment related to the employer's bankruptcy or reorganization

WHAT DOES NOT QUALIFY

A one-time capital gain, a Roth conversion, or the voluntary sale of a home or investment property does NOT qualify as a life-changing event — even though it may have caused the exact income spike you're now being charged for. If your situation doesn't match one of the 8 events above, your surcharge will correct itself automatically once the two-year lookback naturally catches up to your current, lower income.

Source: 20 CFR 418.1205; SSA POMS HI 01120 series

STEP 6 OF 7

How to File Form SSA-44

1. Confirm your situation matches one of the 8 qualifying events on Page 8
2. Obtain Form SSA-44 (“Medicare Income-Related Monthly Adjustment Amount – Life-Changing Event”) from SSA.gov
3. Select the specific event that applies and provide the date it occurred
4. Provide a good-faith estimate of your current-year MAGI
5. Attach supporting documentation (e.g., employer letter confirming retirement date, death certificate, divorce decree)
6. Submit to your local Social Security office
7. File as soon as the event occurs — you can file proactively if you know a qualifying event will lower your income, to avoid the surcharge being withheld in the first place

> **WHAT HAPPENS NEXT**
>
> If approved, Social Security recalculates your premium using your current income and often refunds any IRMAA already withheld for the year. If denied, you'll receive a notice explaining why, and you can request a formal reconsideration. Decisions typically take a few weeks to a couple of months.

Source: SSA.gov, Form SSA-44 instructions

STEP 7 OF 7

Planning Ahead to Manage Future IRMAA

If you don't currently qualify for an appeal, the two-year lookback means today's planning decisions affect your Medicare premium two years from now — which is both a risk to manage and an opportunity to use.

- ☐ A Qualified Charitable Distribution (QCD) reduces MAGI directly — see the Seniors Audit RMD Tax & Withdrawal Planning Workbook for the full mechanics
- ☐ Spreading a large Roth conversion across multiple years, rather than one, can help avoid crossing a threshold in any single year
- ☐ Timing a property sale or other large one-time income event with awareness of which future tax year it will affect

PLAN ON THE RIGHT TIMELINE

Any of these moves affects your MAGI two years before it affects your premium. A Roth conversion in 2026 shows up in your Medicare cost in 2028 — plan on that timeline, not the current year.

PUTTING IT TOGETHER

Your Decision Worksheet

My MAGI (2 years back)	
My current IRMAA tier	
My estimated annual surcharge	
Do I have a qualifying life-changing event? (Y/N)	

WEIGHTING GUIDE

If you have a qualifying event AND your current income is meaningfully lower than the income Medicare is using, filing SSA-44 is very likely worth the 15–20 minutes it takes — there's no downside to trying. If you don't have a qualifying event, your best move is confirming when the two-year lookback will naturally reflect your current income, and using Step 7 to plan around future large income events.

PUTTING IT TOGETHER

Action Checklist

- ☐ Calculate your MAGI from your tax return 2 years back (Step 1)
- ☐ Find your current IRMAA tier and estimated surcharge (Step 3)
- ☐ Determine if you have a qualifying life-changing event (Step 5)
- ☐ If yes, file Form SSA-44 with supporting documentation (Step 6)
- ☐ If no, mark your calendar for when your current income will naturally cycle into the lookback
- ☐ If planning a large one-time income event, review Step 7 before acting

REFERENCE

Common Mistakes & Pro Tips

1. Assuming a capital gain or Roth conversion can be appealed. It cannot — only the 8 specific events qualify.
2. Forgetting that tax-exempt municipal bond interest counts toward MAGI. It's added back even though it's not taxed.
3. Not filing SSA-44 proactively when a qualifying event is known in advance (like a planned retirement date) — you can file before the surcharge even applies.
4. Assuming the cliff is a gradual phase-in. It isn't — $1 over a threshold triggers the entire tier's surcharge.
5. Not accounting for both spouses' premiums separately when estimating total household IRMAA cost.

> **PRO TIP**
>
> If you're retiring mid-year, file SSA-44 as soon as your last paycheck is confirmed — waiting even a few months can mean paying the higher surcharge for months you didn't need to.

REFERENCE

How to Read the Confidence Markers

LOW COMPLEXITY Straightforward	Estimating your tier from a stable income history, no recent life changes.
REVIEW CAREFULLY Moderate	Recent retirement, marriage, or divorce; considering a Roth conversion or property sale.
HIGH COMPLEXITY Get professional review	Complex trust income, business income, or a situation not clearly matching one of the 8 qualifying events.

FINAL PAGE

Sources & Update Information

- CMS 2026 Medicare Parts A & B Premiums and Deductibles Fact Sheet — cms.gov
- Form SSA-44 — ssa.gov/forms/ssa-44.html
- 20 CFR 418.1205 (life-changing events regulation)
- SSA POMS HI 01120 series (life-changing events policy)
- Free Seniors Audit IRMAA Calculator — seniorsaudit.com/tools/medicare-irmaa-calculator
- Free Seniors Audit MAGI for Medicare Calculator — seniorsaudit.com/tools/magi-for-medicare-calculator
- Free Seniors Audit "Should I Appeal My IRMAA?" tool — seniorsaudit.com/tools/should-i-appeal-my-irmaa

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Every free tool, calculator, form, or account referenced in this workbook — including Form SSA-44 and CMS's published Medicare Part B and Part D premium and IRMAA determination data — is available directly and free from ssa.gov and cms.gov. This workbook is a paid, independent organizational resource built around that free public information, not a replacement for it.

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